

The State found a way out of this financial dilemma in 1889 when it incorporated a non-sterling Indian company, namely the Delhi–Umballa–Kalka Railway Company. It was given land free of cost, and certain revenue-sharing deals and a percentage of assured dividend returns were struck. Its operations would be taken over by the EIR. The necessity of attracting Indian capital for investing in railway enterprise prompted the Government to embark on a branch line policy. After a few experiments, the final policy was rolled out in 1896, for the construction of branch lines of less than 160 km in length, with Government support. Broadly, the terms were a modified form of the old Guarantee System.

In this case, apart from the free land, some of the points agreed upon were that the main line administration would have the first right to build branch lines. The Government guarantee, not exceeding 3 per cent, would be provided with a negotiated share of net profit. The capital account would be kept in rupees and the Government would retain the right to purchase the line after 21 years, the price for which would be based on a percentage of the line's earnings in the last three years.

Royal guarantees

The Modified Guarantee templates allowed for many financing options, which encouraged interested parties, such as the Princely States, to confidently invest in the railways' expansion within their territories. Various combinations of the deals ranged from agreements where these States would undertake the construction themselves or advance money to the Government at a specific rate and profit sharing. These financial options, beneficial to both parties, relieved the British Indian exchequer of substantial up-front costs.

Moreover, the railways improved the economic welfare of the Princely States. However, as most of them opted for cheap, light lines, this decision loaded the railway network with added transshipment costs, affected speed, and led to capacity constraints.

In order to strengthen the “last mile” connectivity, the Government encouraged the establishment of both unassisted, industry-oriented, and District Board railways funded by stakeholders or through local